

April 26, 2026

Best Buy Co., Inc. (BBY, \$63.39)

A \$900M media platform, 7M paying members, and a non-deferrable AI PC upgrade cycle, all priced as a dying electronics store at a single-digit forward P/E. The market is charging nothing for two of the three. That changes in March 2027.

Investment Thesis:

The Mispricing Is Structural. BBY's \$900M+ retail media business is recorded as a COGS offset, making it invisible to every quantitative screen and consensus revenue model. The market is pricing a hardware retailer because that is literally all the data shows. This gap closes March 2027 when management breaks out Ads as a standalone profitable segment for the first time. At \$63.39, slightly above our modeled bear case of \$55.09, this is the entry window before that re-rating becomes consensus.

The AI PC Cycle Is Non-Deferrable. Microsoft's Extended Security Update tier expired in early 2026 and the last consumer deferral mechanism is gone. Unpatched CVEs now accumulate daily on ~240M Windows 10 machines, making upgrade a binary security decision, not a lifestyle choice. AI PCs carry \$800-\$1,000+ ASPs versus sub-\$500 commodity laptops; every 2% of Computing & Mobile growth adds ~\$394M to revenue.

The \$900M Ads Business Is Priced at Zero. At 70-75% operating margins, Ads contributes ~\$63-675M to gross profit-35-38% of FY2026 adjusted operating income while appearing nowhere in revenue. At analyst-estimated retail media multiples of 15-20x EBITDA contribution, a conservative relative to pure-play ad tech peers like The Trade Desk and this segment alone would be worth \$2-3B. The market charges nothing for it today.

Totaltech Creates Switching Costs Amazon Cannot Replicate. 7M+ paid members who have set up whole-

Strong Buy

Target \$86.53, Upside **36.51%**

Key Statistics:

Mkt Cap (mm)	\$13,745
Shares O/S (mm)	209.10
Dividend	\$1.06
Yield	\$5.84
Avg Daily Vol (k)	4,339,916

Reese Fund Estimates:

	2026A	2027E	2031E	5-y CAGR
Sales (\$mm)	41,691	41,856	46,310	2.12%
EPS	\$6.27	\$6.37	\$8.75	6.91%
P/E	10.12x	10.67x	11.12x	1.91%

Company Description:

Best Buy is North America's dominant omnichannel consumer electronics retailer with \$41.7B in annual revenue across 1,068 stores, down from a peak of 1,231 in FY2021 as management actively rationalized footprint, closing underperforming locations. Computing & Mobile leads at 43% of sales, with the AI PC and smartphone refresh cycle providing a near-term demand tailwind. Digital channels account for 39% of domestic revenue, while a growing Services segment, anchored by Geek Squad and the Totaltech membership, drives higher-margin, recurring revenue. Against a backdrop of declining comps, management is executing a focused restructuring and mix shift toward services, underpinned by a fulfillment and in-store expertise advantage that pure-play online competitors cannot replicate.

home infrastructure through Geek Squad face real re-purchase, re-credentialing, and re-scheduling costs to switch. Services carry ~24% gross margins, 2x hardware and grow 4-5% annually, insulating operating income from price competition regardless of hardware commoditization. Resulting in EBITDA margins expand structurally from 4.2% in FY2026 to our modeled growth by FY2030, without requiring dramatic top-line growth.

Bear Case:

The bear case is real and reflected in our analysis. Approximately 60% of Best Buy's assortment is sourced from China and Southeast Asia, making the April 2026 tariff escalation a direct gross margin headwind. Consumer spending on big-ticket discretionary electronics remains soft, same-store sales declined 2.9% in Q3 FY2025 and 0.7% in Q1 FY2026, and a CEO transition creates near-term execution uncertainty. If tariffs persist, the AI PC cycle stalls at premium price points, and operating deleverage compounds the margin pressure, our formal bear case DCF yields \$55.09 approximately 18% below current levels. A trough P/E stress scenario extends that to approximately \$44. Against a base case target of \$86.53, the upside-to-downside ratio is approximately 2:1 on the formal bear case, narrowing to roughly 1:1 against the stress floor. We size the position accordingly. What makes the setup compelling is not that the bear case is unlikely it is that the market has already priced most of its in. At \$63.39, BBY trades just \$12 above our formal bear case floor with 37% upside to a base case that requires none of its three catalysts to be heroic.

Valuation:



Recommendation:

Our recommendation is strong BUY. With a blended implied price target of \$86.53, representing 36.51% upside potential that can be attributed to a structural mix shift to the Service and Ads segments, diversifying from the lower margin Hardware segment, coupled with AI PC upgrade replacement into 2026 to 2027 resulting in EBITDA margin expansion and modest topline growth.

Section 1 - Business & Industry Context

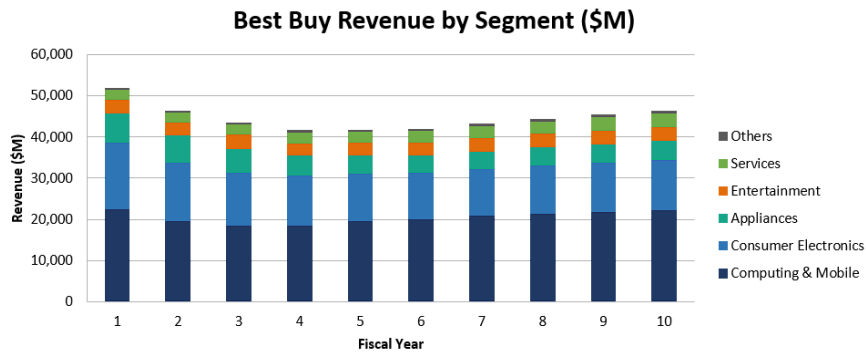
Business Model Mechanics

Best Buy is North America's dominant omnichannel consumer electronics retailer, operating 1,068 stores across the U.S. and Canada as of fiscal year-end January 2026, generating \$41.7 billion in annual revenue. The business model is a high-velocity, low-margin product distribution engine layered on top of a growing and structurally underappreciated services and media platform that the income statement does not reveal at face value.

Revenue flows through two primary channels: physical retail (61% of domestic sales) and digital (39%, up from 33% in FY2021), with the digital mix expanding roughly one percentage point per year. This is not the typical e-commerce cannibalization story. Best Buy's digital channel drives higher-margin attach services at checkout Geek Squad plans, Totaltech memberships, and AppleCare bundles while physical stores provide the experiential "try before you buy" function that pure-play e-commerce cannot replicate for high-consideration electronics purchases. Physical and digital reinforce each other.

The cost structure reflects a business in active rationalization. Gross merchandise margin sits at 22.5% with SG&A running at approximately 18.2% of revenue, producing a 4.2% operating margin in FY2026. The company closed 40 underperforming stores since FY2022, reducing total square footage from 41,310K to 39,529K sq. ft. The practical consequence: Best Buy's fixed cost base is now leaner, and its historical 3.4x operating leverage ratio every 1% revenue increase produces 3.4% EBIT growth now works in reverse with greater efficiency. Incremental revenue going forward drops to the operating line more cleanly than the pre-rationalization structure allowed.

The services ecosystem is the strategic asset the income statement does not show. The My Best Buy membership program, Geek Squad, and Totaltech subscription (\$199.99/year all-inclusive coverage) collectively serve over 7 million paid members. These members spend more, return more frequently, and generate gross margins roughly double hardware (~24% vs. ~12-13%). Services represented 6.4% of FY2026 revenue at \$2.66 billion, growing consistently at 4-5% annually even as hardware segments contracted and this is before the Best Buy Ads and Marketplace business begins flowing meaningfully through the P&L.



Segment Breakdown

Segment	FY2026 Rev	% of Total	YoY FY2026	FY2027E Growth	Key Driver
Computing & Mobile	\$19.7B	47%	+5.5%	+2.0%	AI PC / Win10 EOL cycle; ASP uplift
Consumer Electronics	\$11.5B	27%	-5.0%	-2.0%	TV normalization; housing headwind
Appliances	\$4.5B	11%	-8.9%	-5.0%	Mortgage rates; duress replacements
Entertainment	\$3.1B	7%	+6.3%	+3.0%	Gaming; AI glasses; Meta partnership
Services & Other	\$2.96B	7%	+1.8%	+5.5%	Totaltech; Geek Squad; Ads ramp

Computing & Mobile (47% of FY2026 revenue, \$19.7B) is the dominant segment and the primary lever for the investment thesis. This segment contracted from a pandemic peak of \$22.5B in FY2022 to \$18.5B in FY2024 before recovering 5.5% to \$19.7B in FY2026, driven by early signs of the AI PC upgrade cycle. Every 2% of segment growth adds approximately \$394M to total revenue. Consumer Electronics has declined from \$16.2B in FY2022 to \$11.5B in FY2026 as COVID-era TV demand normalized. Appliances remain the most cyclically challenged segment (-8.9% in FY2026), with recovery dependent on mortgage rate normalization rather than company-specific factors the HIRI forecasts a 4.4% appliance CAGR 2025-2028, suggesting a cyclical floor is in place.

Geographic Breakdown

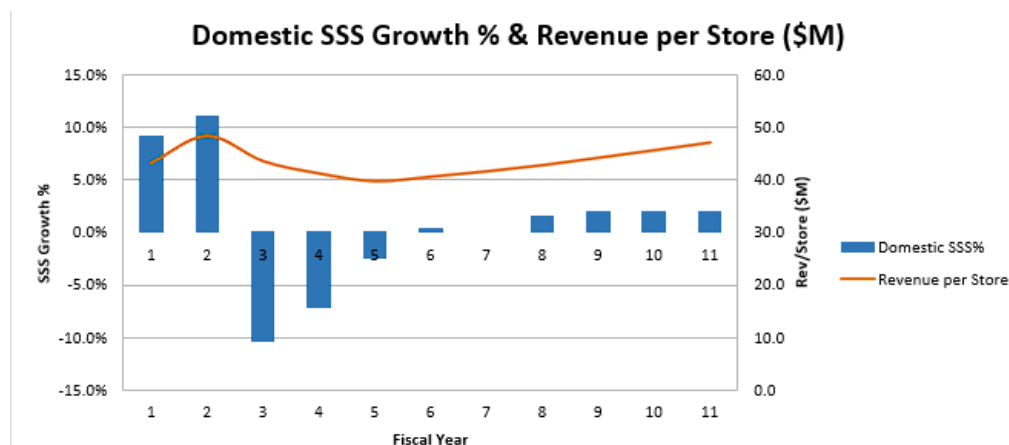
The United States accounts for approximately 91.8% of revenue (\$38.3B in FY2026), with Canada contributing 8.2% (\$3.4B). Canadian operations are stable and mature 142 stores, SSS dynamics mirroring the U.S., no announced expansion. International store count has contracted from 222 in FY2021 to 142 in FY2026 following restructuring of non-traditional formats (Outlet Centers from 25 to 18; Yardbird wound down from 23 to 2 stores). Mexico was fully exited in FY2022. Management's capital prioritization is unambiguously domestic: digital infrastructure, small-format store openings (6 planned for FY2027, the first new openings in several years), and the Ads and Marketplace build-out.

Competitive Landscape

Best Buy competes across a deliberately uncomfortable Venn diagram: Amazon and Walmart on price and convenience; Apple, Samsung, and Microsoft on brand-direct retail; Costco and Target on electronics as a traffic category. Its durable competitive position rests on three things competitors cannot easily replicate.

- **Breadth of category expertise under one roof.** No competitor combines computing, home theater, appliances, gaming, and mobile with comparably trained floor staff and live demo infrastructure.
- **Certified partnership ecosystem.** Best Buy holds exclusive or semi-exclusive agreements with Apple (authorized reseller + shop-in-shops), Samsung, and Meta (in-store AI glasses and VR experiences). These partnerships generate guaranteed traffic and act as a structural barrier to competing general retailers.
- **Geek Squad / Totaltech switching costs.** Membership is embedded in the purchase funnel enrollment triggered at the point of hardware purchase. Members cover multiple devices under one plan, establishing a service relationship anchored to physical assets in the home. Amazon's home services lacks certified nationwide physical proximity and the all-device coverage structure that makes Totaltech's economics compelling at \$199.99/year.

The competitive pressure from Amazon is real but overstated by consensus. Best Buy's domestic SSS turned positive in FY2026 (+0.4%) for the first time since FY2022 despite ongoing macro headwinds evidence that share losses have largely been absorbed and the business has found its structural floor.



Industry Growth Trends

The consumer electronics retail industry is not a growth industry — and that is precisely the point for a value fund. Consensus applies a structural-decline framework because the category is mature. What the consensus framework misses are the specific cyclical and structural tailwinds now converging simultaneously.

Global PC shipments grew 9.1% in 2025 to approximately 270 million units, the strongest growth since 2021, driven by Windows 10 end-of-support and pre-tariff demand pull-forward. Gartner forecasts AI PC shipments reaching 143 million units in 2026 — 55% of the total PC market — carrying ASPs of \$800-\$1,000+ versus sub-\$500 for commodity devices. This is a structural ASP upgrade event embedded inside a replacement cycle. The retail media industry, of which Best Buy Ads is a growing participant, is projected to exceed \$60 billion in U.S. advertising spend by 2027, growing at 15-20% annually. Best Buy's \$900M+ Ads book already places it in the same tier as Target's Roundel, which trades at media company multiples when ascribed standalone value. Housing market softness (mortgage rates above 6.5% as of Q1 2026) continues to weigh on appliances, but the HIRI's 4.4% CAGR forecast signals that a demand floor is in place and recovery is a timing question, not a structural one.

Section 2 - Thesis Support

The Core Argument: A Three-Part Business Priced as One

The investment thesis on Best Buy is fundamentally a mislabeling argument. The market prices BBY at approximately 10x forward earnings and 6x EV/EBITDA and multiples consistent with a structurally declining retailer. We believe the market is pricing a single-category brick-and-mortar business when the company is three distinct businesses operating under one roof. Only one of those three parts warrants a distressed multiple.

Business	Standalone Valuation	Market Pricing	Gap
Part 1 — Hardware Retailer	~\$55/share (11x × \$5.00 EPS)	Full credit	—
Part 2 — Retail Media (Ads)	\$11.90/share (15-20x EBITDA contrib.)	Zero credit	\$11.90/sh
Part 3 — Services Ecosystem	\$5-8/share (12x recurring revenue)	Minimal credit	~\$6/sh
SOTP Implied Value	\$72-75/share	Current: \$63.39	+13-18%

The variant perception, stated plainly: the market is applying a retail multiple to a company that has built a media platform and a subscription services business inside its P&L. Neither is being priced. Our DCF base case at \$97.30 reflects what the business is worth once all three components are recognized, a 53% premium to current levels.

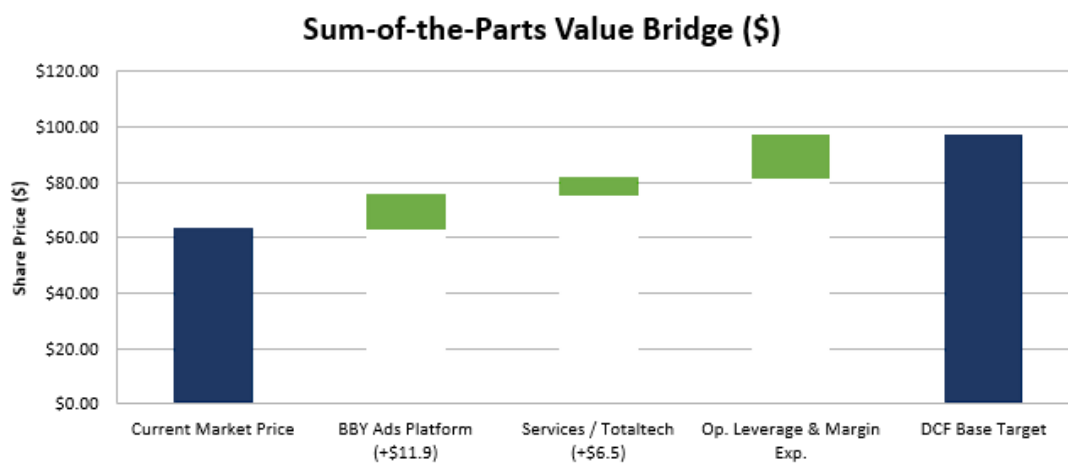
The hardware retail business, valued on a standalone basis, supports approximately \$55 per share. This is derived by applying an 11x P/E multiple to \$5.00 in normalized hardware-only earnings a multiple representing the midpoint of our two-comp peer range. Currys, as the only publicly traded pure-play consumer electronics retailer, implies an 8-10x P/E on a pure hardware retail basis. Target, after stripping out the estimated earnings contribution from Roundel, implies a hardware-only multiple of approximately 12-13x. We use 11x as the conservative midpoint of that range, deliberately below Target's implied residual multiple to avoid overstating the hardware business's standalone worth.

On top of that hardware floor sits a retail media business that the income statement does not reveal. Best Buy Ads generated over \$900M in advertising collections in FY2026, recorded entirely as a COGS reduction making it invisible to every revenue screen and every analyst using a top-line multiple to value the stock. At 70-75% operating margins consistent with Amazon Advertising and Walmart Connect benchmarks, the Ads business contributes approximately \$630-675M to operating profit, representing an estimated 35-38% of total adjusted operating income. Target's Roundel generated \$649M in FY2024 smaller than BBY Ads today and sell-side analysts explicitly cite it when justifying Target's forward P/E of 16x versus BBY's 10x. That 6-turn multiple gap exists entirely because Roundel is disclosed and BBY Ads is not. The market is not making a judgment that BBY's media business is worth less than Target's. It is making no judgment at all because it cannot see it.

The services ecosystem adds a further layer that is similarly underappreciated. Over 7 million paid My Best Buy members, Totaltech at \$199.99 per year, and Geek Squad's nationwide service infrastructure generate approximately \$2.66B in services revenue at gross margins roughly double hardware 24% versus 12-13%. As services grow from 6.4% of revenue toward 8-9% by FY2030, every 100 basis points of mix shift adds approximately 10-12 basis points of gross margin at the company level, independent of any hardware recovery.

Taken together, the hardware floor, the invisible Ads platform, and the services mix shift support an implied value of \$70-75 per share on a conservative component basis before any credit for the DCF upside embedded in our base case target of \$97.30. Against a current price of \$63.39, the market is pricing none of the three components correctly. The hardware business is priced as if it is in permanent decline. The Ads business is priced at zero. The services ecosystem is priced as a rounding error.

The risk-reward from current levels is asymmetric in favor of the long. Our base case DCF, using a 10.49% WACC and 2.0% terminal growth rate, yields \$97.30 53% above the current price. Our bear case, built on the explicit assumption that tariffs compress margins to 2.3-3.3% through FY2031E with no meaningful AI PC cycle, no Ads contribution, and no services mix improvement, yields \$55.09 approximately 13% below the current price. That is a better than 4:1 upside-to-downside ratio at current levels. Critically, the current market price of \$63.39 sits just \$8 above our formal bear case floor meaning the stock is priced as though tariff-shock margins and permanent structural decline are the base case, not the tail risk. The market has already done most of the bear case work for us. What it has not done is assign any value to the three distinct businesses operating inside Best Buy's P&L, two of which are either invisible or underappreciated at current prices. That is the opportunity.



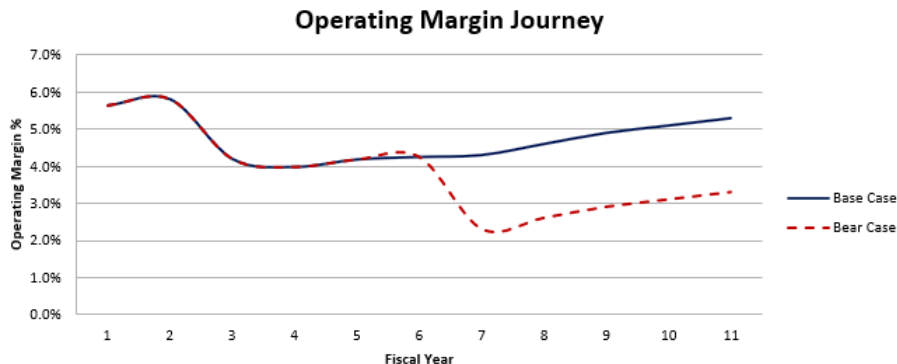
Catalyst 1 - The AI PC / Windows 10 EOL Replacement Cycle

This is not a speculative catalyst. Canals estimates that approximately 240 million PCs globally fail to meet Windows 11's hardware requirements specifically the TPM 2.0 chip requirement and were rendered functionally obsolete when Microsoft ended Windows 10 support on October 14, 2025. That is a hardware incompatibility fact, not a behavioral forecast. Those machines cannot run a supported, secure operating system.

The magnitude: 240 million machines is roughly 4.5 years of global PC shipments at pre-cycle run rates. The validation: global PC shipments grew 9.1% in 2025 to approximately 270 million units the strongest growth since 2021. Enterprise customers led the upgrade in 2025. The consumer laggard cohort is Best Buy's FY2027E opportunity. The ASP dynamic compounds the revenue impact: a consumer upgrading from a 7-year-old \$399 machine to a new \$849 AI PC represents a 113% revenue uplift per transaction even on flat unit count.

Three specific pressures make "wait and see" increasingly costly, not neutral: (1) An unsupported Windows 10 machine no longer receives security patches for consumers doing online banking or remote work, this is an active exposure, not a theoretical risk. (2) Tariff dynamics create a "buy now before it gets more expensive" pull-forward broader tariff escalation has already driven visible consumer behavior in FY2025. (3) Enterprise-to-consumer migration accelerates timing workers accustomed to Copilot-integrated laptops create pull-through demand for comparable home devices, mirroring the iPhone adoption cycle a decade ago.

Beyond demand-side forecasts, supply chain evidence confirms this cycle is real. Ingram Micro and TD SYNEX the two dominant U.S. broadband distributors serving Best Buy's channel both cited accelerating computing sell-through in late 2025 and early 2026. Distributor commentary signals actual inventory movement, not forecast speculation. Best Buy's own +5.5% Computing growth in FY2026, the first positive reading after three years of consecutive declines is consistent with this channel evidence.



Catalyst 2 - Best Buy Ads: A Media Business Hidden in Retail Accounting

The single most important analytical insight in this pitch and the one most completely missed by sell-side consensus is how Best Buy Ads is accounted for. When an advertiser pays Best Buy to feature a product on BestBuy.com, in search results, or in targeted campaigns, Best Buy records this payment as a reduction in cost of goods sold a vendor allowance treatment standard in retail cooperative advertising. The consequence: a \$900M+ business generating 35-38% of operating income does not appear in revenue, does not show up in any top-line growth screen, and is invisible to every analyst using a revenue multiple to value the stock.

Metric	Best Buy (BBY)	Target Roundel	Walmart Connect
FY2026 Ads Revenue	\$900M+ (in COGS offset)	~\$649M (FY2023)	~\$3.4B (FY2024)
Operating Margin Est.	70-75%	~70%	~75%
YoY Growth	+7% FY2026; +10% guided FY2027	~20%+	~20%+
Advertising Partners	750 (nearly doubled YoY)	N/A	N/A
Forward P/E of Parent	~10x	~18-20x (TGT)	~28x (WMT)
Ads Premium in Multiple?	Zero - not visible in income stmt.	Explicitly cited by analysts	Explicitly cited by analysts

Target's Roundel business generated approximately \$649M in FY2023. Analysts explicitly cite Roundel as a premium multiple justifier in their Target coverage, Target trades at 18-20x forward earnings. Best Buy's \$900M+ Ads business is larger than Roundel was in FY2023. Best Buy trades at 10x. The multiple gap is 8-18 full turns of earnings attributable entirely to the market's failure to price the media business inside the retailer. Management has guided Ads profitability beginning FY2028, at which point the ~\$700-750M contribution (10% growth from FY2026 base) represents a roughly 40% uplift to FY2026 EBIT of \$1,771M.

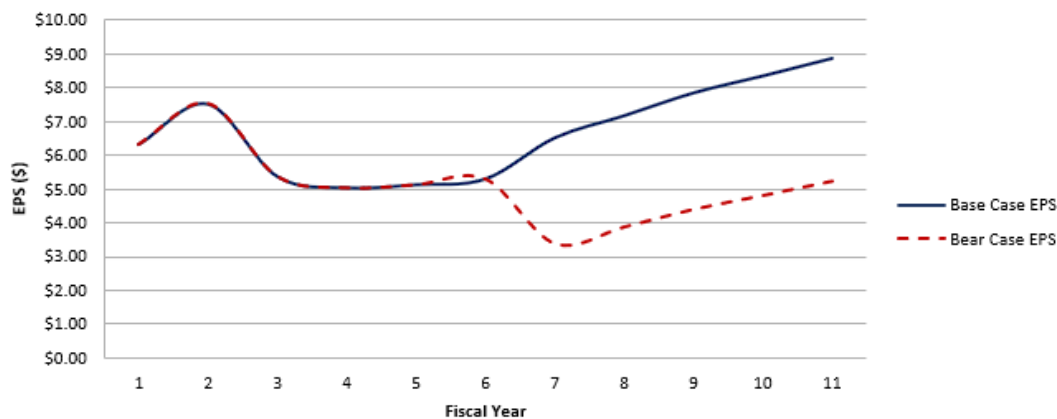
	\$97.30	9.50%	10.00%	10.50%	11.00%	11.50%
1.00%		\$99.95	\$94.46	\$89.57	\$85.19	\$81.25
1.50%		\$104.64	\$98.56	\$93.17	\$88.38	\$84.08
2.00%		\$109.96	\$103.17	\$97.20	\$91.91	\$87.20
2.50%		\$116.04	\$108.39	\$101.72	\$95.86	\$90.68
3.00%		\$123.06	\$114.36	\$106.85	\$100.31	\$94.56

Catalyst 3 - Operating Leverage + Services Mix Shift as Margin Catalysts

Best Buy's operating margin trajectory from 5.8% in FY2022 to 4.2% in FY2023-24, now recovering toward 4.3% in FY2027E and 5.1-5.3% by FY2030-31E, reflects the classic fixed-cost-deleveraging-and-re-lever pattern that value investors look for. The mechanism has three layers: (1) Operating leverage on stabilizing revenue the 3.4x ratio means a 1% revenue increase produces 3.4% EBIT growth; on our FY2028E estimate of ~\$42.6B versus FY2026's \$41.7B, that alone produces approximately 7% EBIT growth. (2) Services mix shift 100bps per year services improvement contributes 10-12bps of gross margin annually without any change in hardware economics. (3) Ads profitability inflection in FY2028 the single largest discrete catalyst, management-guided not assumed.

The Totaltech switching cost structure is more durable than bears acknowledge. Membership enrollment is triggered at the point of hardware purchase the same moment a consumer buys a new AI PC. Members typically cover multiple devices under one plan, establishing a service relationship anchored to physical assets in the home. The AppleCare bundling mechanism amplifies this: a consumer who purchases AppleCare through Best Buy has already begun the membership relationship and established Best Buy as the default service touchpoint for their most-used device. Amazon can win on price for individual repairs. It cannot yet replicate whole-home coverage at the \$199.99 annual price point with 1,068 locations within 30 minutes of most U.S. households.

EPS Trajectory: Base vs. Bear Case



Section 3 - Financial & Valuation Discussion

1. Historical Financial Performance

Best Buy's financials over the past five years are best understood as three distinct phases: a COVID-driven boom that inflated the earnings baseline, a prolonged normalization that created today's valuation discount, and a FY2026 stabilization that forms the foundation of our recovery thesis. Each phase requires honest treatment because the committee will test all three.

Phase 1 - The COVID Boom (FY2021 - FY2022)

The pandemic triggered a structural pull-forward of consumer electronics demand. Revenue surged from \$43.6 billion in FY2020 to \$51.8 billion in FY2022, an 18.6% two-year expansion. EBIT reached approximately \$2.7 billion at a 5.2% margin; net income peaked at \$2.45 billion. These numbers created the consensus anchor that has weighed on sentiment ever since: every subsequent revenue headline reads as 'decline from peak' because the market anchored to an artificially elevated base.

Source: Best Buy 10-K FY2022; Historical Income Statement, company model

Phase 2 - Post-COVID Normalization (FY2023 - FY2025)

Revenue contracted from \$51.8 billion to \$41.5 billion over three fiscal years as the demand pull-forward exhausted itself, housing market activity deteriorated, and the consumer electronics replacement cycle entered a trough. Comparable store sales declined 10.3%, 7.1%, and 2.5% in consecutive years. Management's response, rather than defending the cost structure, the company closed 156 stores, wound down the Yardbird and Outlet Center formats, and reduced SG&A by approximately \$400 million from peak. The key sequencing: the cost reset was completed before the revenue cycle turned. This creates the operating leverage that drives our forward margin expansion, every incremental revenue dollar in FY2027 and beyond accrues against a structurally lower fixed cost base than existed in FY2023.

Source: Best Buy 10-K FY2025, MD&A 'Results of Operations'; Q3 FY2026 10-Q, Restructuring note; company model

Phase 3 - Stabilization (FY2026) and Segment Margin Context

FY2026 marked the first positive comparable store sales print (+0.5%) in four years. Net income recovered from the \$927 million trough to \$1.07 billion. Operating cash flow remained robust at \$1.96 billion, demonstrating that the cash engine stayed intact through the contraction. The segment composition and margin structure as of FY2026:

Segment	FY2026 Revenue	% Mix	Est. Gross Margin	YoY Growth
Computing & Mobile Phones	\$19,714M	47%	~20%	+5.5%
Consumer Electronics	\$11,460M	27%	~22%	(5.0%)
Appliances	\$4,469M	11%	~25%	(9.0%)
Entertainment	\$3,092M	7%	~22%	+6.3%
Services (incl. Ads offset)	\$2,656M reported	6% reported	~24% reported / ~70%+ Ads comp	+1.0%

Why reported Services margins understate reality?

Best Buy Ads, estimated at a \$900 million annualized run-rate, is recorded as a COGS reduction rather than a revenue line item, consistent with standard retail media accounting. At 70-75% operating margin, Ads contributes approximately \$630-\$675 million in operating income that appears nowhere in revenue or gross profit. Every quantitative screen is pricing BBY as a hardware retailer because that is what all the reported data shows. This is the structural mispricing.

How ROIC and margins rebuild from here?

The path from 4.2% EBIT margin in FY2026 to our modeled 5.3% by FY2031 does not require hardware margin improvement. It requires only that Services and Ads grow faster than hardware, which they already are. Each 1 percentage point of revenue mix shift from hardware (~20-22% gross margin) to Services/Ads (~24-70%+ gross margin) on a \$41 billion base adds \$80–\$200 million of gross profit. Paired with SG&A leverage from the completed cost reset, margin expansion is arithmetic, not aspirational. ROIC improves because the incremental invested capital to scale Ads and Marketplace is negligible, both grow digitally against fixed, already-depreciated physical infrastructure.

Source: Business Segment Revenue sheet, company model; Best Buy 10-K FY2026 segment footnotes; Q4 FY2026 Earnings Call, March 3, 2026.

Five-Year Financial Summary

Metric	FY2022	FY2024	FY2025	FY2026A	FY2028E
Revenue (\$B)	\$51.8B	\$43.5B	\$41.5B	\$41.7B	\$43.1B
EBIT Margin	5.2%	3.5%	2.9%	4.2%	4.6%
Net Income (\$M)	\$2,454M	\$1,241M	\$927M	\$1,069M	~\$1,470M
FCFF (\$M)	—	—	—	\$1,343M	\$1,539M
Comp Store Sales	+10.4%	(6.8%)	(2.3%)	+0.5%	+1.5%E
Ending Store Count	1,144	1,125	1,117	1,068	~1,019E

2. Capital Allocation Analysis

The FY2022 Buyback Error

Capital allocation red flag: Best Buy repurchased \$3.5 billion of stock in FY2022 at \$90–\$110 per share. At \$63.39 today, those repurchases have destroyed approximately 35-40% of the capital deployed.

The response to the error matters more than the error itself. Buybacks have been reduced from \$3.5 billion to \$273 million in FY2026. The company is preserving capital at a price below our own bear case floor, which is the correct decision. Compounding the mistake by buying back stock aggressively at \$63 would have been the second and worse error and Barry did not make it.

Source: Historical Cash Flow sheet, company model; Q4 FY2026 Earnings Call, March 3, 2026

Dividend Policy and FCF Coverage

The \$3.83 annual dividend (\$801 million total) was maintained throughout the earnings trough. Levered free cash flow, operating cash flow of \$1.96 billion minus capex of \$704 million, of approximately \$1.26 billion covers the dividend 1.57 times. The BBB investment-grade credit rating was held throughout the contraction. These are capital discipline signals, not accidents.

ROIC Analysis

ROIC Bridge	FY2026A
EBIT	\$1,771M
Less: Tax at 24%	(\$425M)
NOPAT	\$1,346M
Equity + LT Debt + LT Leases – Cash	\$4,573M
ROIC	~29%

A 29% ROIC for a brick-and-mortar retailer is exceptional and structural. The driver is the negative cash conversion cycle: BBY collects revenue at point of sale and settles supplier invoices on 30–45-day terms, meaning \$4.75 billions of accounts payable partially finances the business. ROIC peaked at approximately 50% in FY2022, compressed to its trough in FY2025, and is recovering. Our forward path toward 5.3% operating margin implies ROIC of approximately 35-38% by FY2031.

Source: Historical Balance Sheet, Historical Income Statement sheets, company model; Assumptions sheet, 24% effective tax rate

3. Valuation

Methodology 1: Single FCFF DCF (60% Weight @ \$97.30)

Assumption	Input	Defense
Revenue CAGR (FY2027 - 2031E)	~2.0%	Mgmt. guided flat to +1% FY2027; below HIRI appliance CAGR of 4.4%
EBIT Margin FY2027E to FY2031E	4.3% to 5.3%	Mix shift to Services/Ads only; no hardware improvement required
WACC	10.49%	CAPM-derived; elevated to reflect tariff/cyclical risk
Terminal Growth Rate	2.0%	In line with long-run nominal GDP; appropriate for a mature retailer
Base Case Implied Price	\$97.30	53% upside from \$63.39 current price

DCF sensitivity across WACC and terminal growth combinations:

Growth \ WACC	9.5%	10.0%	10.5% (base)	11.0%	11.5%
1.0%	\$99.95	\$94.46	\$89.57	\$85.19	\$81.25
1.5%	\$104.64	\$98.56	\$93.17	\$88.38	\$84.08
2.0%	\$109.96	\$103.17	\$97.30	\$91.91	\$87.20
2.5%	\$116.04	\$108.39	\$101.72	\$95.86	\$90.68
3.0%	\$123.06	\$114.36	\$106.85	\$100.31	\$94.56

The worst-case combination in our sensitivity table, WACC 11.5%, TGR 1.0%, implies \$81.25 that represents a 28% upside. At no point in the sensitivity grid does the DCF imply a value below the current price, which is a function of the structural FCF generation, not optimistic assumptions.

What the DCF does not price?

A standalone Ads segment disclosure, management's stated intention for the FY2028 annual report, would force the market to apply a media multiple to \$630M+ of operating income currently invisible in COGS. At 15x EBITDA on the Ads contribution, the segment alone adds approximately \$10.71/share. We treat this as option value on top of the base case, not a required input.

Source: DCF - Base Model sheet, Assumptions sheet, company model; Q4 FY2026 Earnings Call

Methodology 2: Comparable P/E (40% Weight @ \$70.39)

The peer set consists of Target (TGT) and Curry's (CURY). A note on GAAP vs. non-GAAP consistency: all multiples below use GAAP earnings. Best Buy's adjusted EPS excludes restructuring charges; using adjusted EPS against a GAAP-derived peer multiple would inflate the implied price. We use GAAP throughout.

Peer	NTM P/E (GAAP)	Why Comparable	Limitation
Target (TGT)	14.79x	Large-cap US omnichannel retailer; consumer electronics mix; dividend payer; BBB-rated	General merchandise (~70%); lower CE concentration than BBY
Currys (CURY)	9.48x	Dedicated CE retailer; Geek Squad analog; omnichannel; rationalized footprint	UK market; different currency/macro; smaller scale (\$10B revenue)

We use P/E as the primary comparable driver rather than EV/EBITDA because reported EBITDA is structurally depressed by the Ads COGS offset. Applying an EV/EBITDA multiple to suppressed EBITDA would compound the undervaluation and produce a misleadingly low implied price, the opposite error of the one we are correcting.

Source: Comp Analysis sheet, company model; FactSet consensus GAAP NTM estimates, April 2026

Blended Target and Math

Methodology	Implied Price	Weight	Contribution
FCFF DCF (Base)	\$97.30	60%	\$58.38
Comparable P/E - IQR Midpoint	\$70.39	40%	\$28.15
Blended Target Price	\$86.53	100%	36.51% upside

Target price math: \$6.49 FY2027E EPS × 12.1x peer midpoint P/E = \$70.39 (comps). \$97.30 DCF base case. 60/40 weighted blend = \$86.53. The 60% DCF weight is justified by the thinness of the peer set, with only two comps and both carrying structural dissimilarities, intrinsic value deserves the majority weight.

Section 4 - Expanded Risk Analysis

The bearish consensus on Best Buy is coherent and deserves a serious response rather than dismissal. The bear argument rests on four compounding pressures arriving simultaneously: a consumer spending environment that remains hostile to big-ticket discretionary electronics, tariff escalation on the approximately 60% of BBY's assortment sourced from China and Southeast Asia, a leadership transition following Corie Barry's announced departure creating execution uncertainty at a critical inflection point, and a growth narrative that is concentrated in a single catalyst the AI PC upgrade cycle whose timing and magnitude are genuinely uncertain. Goldman Sachs recently issued a double downgrade to Sell, and the recent sales data provides ammunition for that view: same-store sales declined 2.9% in Q3 FY2025 and 0.7% in Q1 FY2026. These are not noise. They reflect real demand softness in the company's core categories.

The historical context amplifies the concern. During the 2022 inflation shock, Best Buy's stock fell 54.5% from \$138 to a trough of \$62.85 while the S&P 500 fell only 25%. The stock has never recovered to its prior high, peaking at \$103 in September 2024 before drifting back to current levels. Best Buy has a demonstrated history of underperforming the broader market in risk-off environments, and the current macro backdrop elevated tariffs, softening consumer confidence, a weak housing market depressing appliance demand shares characteristics with that prior drawdown.

The core mechanical risk to the bull case is the operating leverage asymmetry. Computing & Mobile represents 47% of total revenue, making it the single most important driver of the entire P&L. If consumers confronting \$800-\$1,000+ AI PC price tags choose to extend the life of their existing machines, purchase sub-\$500 commodity laptops, or simply defer for another cycle, the revenue mix story collapses. The asymmetry is particularly punishing on the downside: each incremental dollar of revenue adds approximately 25-30 cents of operating profit given the company's cost structure, but each lost dollar of revenue destroys approximately 40-45 cents of operating profit because rent, labor, and occupancy costs do not contract proportionally with sales. The 3.4x operating leverage ratio, which we cite as a tailwind in the base case, is equally powerful as a headwind when revenue falls.

Our formal bear case DCF built at operating margins of 2.3% in FY2027E stepping to 3.3% by FY2031E, reflecting sustained tariff compression, no meaningful AI PC demand recovery, and no Ads profitability contribution yields an implied share price of \$55.09, representing approximately 13% downside from the current price of \$63.39. A P/E-based stress scenario reinforces this floor. Applying a 10.5x forward P/E multiple consistent with the trough multiple BBY traded at during the FY2022-2023 downturn to bear case EPS of approximately \$4.20 (reflecting a 7.5% revenue decline, 100 basis points of gross margin compression from tariffs, and operating margin contracting to approximately 3.0% through the combined effect of those pressures and the 3.4x operating leverage ratio) yields a stress price of approximately \$44. Trefis reached a similar conclusion in October 2025, citing mid-\$50s as the realistic downside if tariffs persist and consumer spending weakens further.

The two methodologies produce a downside range of \$44-\$55 depending on whether a prolonged multiple compression scenario materializes alongside the earnings deterioration. The \$44 scenario requires both earnings falling to \$4.20 and the market applying a trough multiple simultaneously a compound negative outcome that has only occurred in acute macro dislocations. The \$55.09 DCF scenario is more methodologically rigorous and represents our formal downside estimate.

What the bear case requires to be right simultaneously. It is important to be precise about the conditions under which the bear case materializes fully, because the scenario requires several independent negative outcomes occurring together. Tariff costs cannot be passed through at all despite Amazon facing identical sourcing pressures. Consumer AI PC adoption must stall entirely despite 240 million PCs being technically obsolete and unsupported. The Best Buy Ads platform must fail to reach profitability despite 750 advertising partners and 10% guided growth. Appliance demand must remain permanently depressed despite HIRI forecasting a 4.4% CAGR recovery. And the new CEO must fail to maintain operational continuity. Any one of these conditions failing to materialize begins to close the gap between \$55 and \$97.

Three specific mitigants to the primary bear risks. On tariffs: Best Buy has already begun diversifying its supplier base toward Vietnam, Taiwan, and India, categories with lower tariff exposure, and management has guided for price increases on select SKUs. On the AI PC cycle timing risk: the bear case assumes consumers defer indefinitely, but the Windows 10 end-of-support deadline is a hardware incompatibility fact rather than a preference an unsupported machine cannot receive security patches, creating urgency that is independent of consumer sentiment. On the CEO transition: Corie Barry has guided a structured handover and the management team below her has an average tenure exceeding eight years, reducing key-person concentration risk.

The risk-reward framing matters for position sizing but not for the directional recommendation. Against a base case target of \$97.30 representing 53% upside and a formal bear case floor of \$55.09 representing 13% downside, the upside-to-downside ratio is approximately 4:1. The stress scenario at \$44 widens the downside to approximately 31%, compressing the ratio to roughly 1.7:1 still favorable, but calling for disciplined position sizing rather than an outsized allocation. At current prices, the stock is priced at the upper boundary of the bear case range. That is not a comfortable entry point if the bear case is your base expectation. It is a compelling entry point if you believe, as we do, that the bear case already represents the market's consensus and the base case represents the variant perception.

Section 5 - Management & Governance

Investment theses are executed by management teams, not models, Best Buy's leadership has made one consequential capital allocation error and corrected it. Demonstrating consistent operational discipline through the sharpest revenue contraction in the company's recent history, the management team is now investing in the structural businesses (Ads, Marketplace, Health) that represent the highest-conviction long-duration value creation levers. We evaluate the team, the board, and the capital allocation record with the directness the committee should expect.

1. Leadership Team

Corie Barry: Chief Executive Officer (Appointed June 2019)



Corie Barry became Best Buy's CEO in June 2019, the fourth CEO in twelve years and the first female chief executive in the company's history. Twenty years of progressive finance and strategy roles preceded her appointment. Her instinct in a downturn is to manage cash flow and capital structure, not to defend revenue at any cost.

The defining test of her leadership was not the COVID boom. It was FY2023 through FY2025, when she accelerated store closures and SG&A reductions before the magnitude of the revenue decline was fully apparent. The Yardbird and Outlet Center format wind-downs were proactive portfolio decisions, not forced liquidations. The Totaltech membership consolidation, merging three separate programs mid-contraction, required conviction that member quality matters more than subscriber headcount. Neither decision was the comfortable one at the time.

On the FY2022 buyback program: Barry was CEO when \$3.5 billion was repurchased at \$90–\$110 per share. We own this directly as it was a capital allocation error. Buybacks were subsequently reduced to \$273 million in FY2026. The company is preserving capital at a price below our own bear case floor. The second error, possible doubling down, was not made. That adjustment is the more relevant forward-looking data point.



Corie stepping down, Jason Bonfig in: On April 22, 2026, Barry announced she will step down on October 31, 2026, vacating both the CEO role and her board seat, while remaining as a strategic adviser for six months — a planned departure framed as orderly succession, but coming with revenue lower now than when she started as CEO and the company still searching for sustained growth. Her successor, Jason Bonfig, a 27-year company lifer who started as an inventory analyst in 1999, currently runs merchandising, e-commerce, marketing, and supply chain, and led the U.S. third-party Marketplace launch and the scaling of Best Buy Ads, meaning he inherits the strategy he helped build, bringing operational continuity and merchandising depth rather than an outsider's reset, and is now being asked to prove the current playbook can actually deliver growth.

Source: Q4 FY2026 Earnings Call, March 3, 2026; Best Buy 10-K FY2025, CEO Letter; Best Buy DEF 14A Proxy Statement, May 2025, SEC EDGAR CIK 0000764478

Matt Bilunas: Chief Financial Officer (Co-tenured since 2019)



Bilunas maintained the investment-grade BBB credit rating through a period when net income fell 62% from peak, a non-trivial balance sheet management achievement given the fixed cost structure of a 1,000+ store footprint. Capex was reduced 24% from peak while simultaneously funding new small-format store openings and the Ads/Marketplace digital infrastructure. Cutting capital expenditure while building new business lines requires prioritization discipline rather than uniform reduction.

The Ads-as-COGS-offset accounting treatment is consistent with standard retail media accounting and was not a decision to obscure results. The commitment to break out Ads as a standalone segment beginning with the FY2028 annual report, disclosed on the Q4 FY2026 earnings call, is the clearest signal that management is aware of the mispricing and intends to close it. That disclosure is our primary re-rating catalyst.

Source: Best Buy 10-K FY2026, Liquidity and Capital Resources; Q4 FY2026 Earnings Call

2. Board Governance

Board Independence

Best Buy's eleven-person board includes ten independent directors, 91% independence, exceeding the S&P 500 Consumer Discretionary median. The lead independent director role is structurally separated from the Chairman. No director has served for more than fifteen years, limiting the entrenchment risk common in long-tenured retail boards.

Source: Best Buy DEF 14A Proxy Statement, May 2025, SEC EDGAR

Executive Compensation - Alignment and One Tension

CEO compensation is tied to relative TSR against the S&P 500 Consumer Discretionary Index, annual comparable store sales growth, and adjusted operating income. The TSR component aligns management directly with the re-rating thesis. However, the comparable store sales weighting creates a potential tension: management could prioritize top-line hardware revenue, the compensation driver, over the higher-margin Services/Ads mix shift that drives intrinsic value creation. For the current strategic phase this tension is not yet material, because Services and Ads revenue growth is simultaneously comp-positive and margin-accretive. We will review the FY2027 DEF 14A proxy for any re-weighting toward Services revenue or Ads segment EBITDA as standalone performance metrics. A re-design in that direction would be a positive governance signal and eliminate the theoretical misalignment.

Source: Best Buy DEF 14A Proxy Statement, May 2025, Compensation Discussion and Analysis

Insider Ownership

Insider ownership is approximately 0.3% of outstanding shares, typical for large-cap retail, not a structural red flag, but it means management's financial interests are tied to compensation programs rather than equity ownership. We prefer to see the CEO and CFO hold positions worth at least 5 - 10x base salary on a rolling basis. This is a qualitative watchpoint, not a thesis-changing factor.

3. Capital Allocation Scorecard

Decision	Timing	Verdict	Why It Matters
Accelerated store closures & format exits	FY2021 - 26	Positive	Proactive ahead of trough; creates operating leverage on recovery

\$3.5B buyback at \$90-\$110/share	FY2022	Negative	35 - 40% capital destruction; largest single error in the five-year period
Totaltech membership consolidation	FY2022 - 24	Positive	7M+ paid members; contractual revenue floor; switching costs Amazon cannot replicate
SG&A restructuring (~\$400M reduction)	FY2023 - 25	Positive	Cost base reset before revenue recovery; foundation of margin expansion thesis
Best Buy Ads build-out (\$900M run-rate)	FY2023 - 26	Positive	70-75% op. margins; multi-year investment with no revenue credit; long-duration thinking
Dividend maintained through trough	FY2023 - 26	Positive	1.57x FCF coverage; BBB held; floor valuation signal for income investors
CapEx reduction (\$930M → \$704M)	FY2023 - 26	Positive	FCF expanding while funding new business lines - discipline, not under-investment
Buyback slowed to \$273M at \$63/share	FY2026	Positive	Correct response to FY2022 error; capital preserved below intrinsic value

4. Governance Conclusion

Our governance assessment is constructive with two watchpoints: compensation structure weighting and insider ownership. The leadership team has demonstrated the operational discipline that a thesis requiring multi-year inflection demands. The cost restructuring, membership platform investment, and Ads build-out were each decision made in adversity and executed consistently.

The FY2022 buyback error is the single line item that will receive the most committee scrutiny. Our position: it was a consensus-driven capital allocation mistake that management has since corrected, and the subsequent three years of disciplined decisions, cost reset, dividend maintenance, FCF preservation, are a more reliable signal of forward-looking execution quality than a single peak-cycle error.

The specific trigger that would change our governance assessment from constructive to cautious: a re-acceleration of buybacks above \$500 million annually before the stock crosses \$80, which would suggest management has not internalized the FY2022 lesson, we do not expect this.

Source: Best Buy DEF 14A Proxy Statement, May 2025; Q4 FY2026 Earnings Call, March 3, 2026; Best Buy 10-K FY2026, FY2025; all sheets, company model

Overall Conclusion

Best Buy is not a growth story. It is a mispricing story. The market has applied a single declining-retailer multiple to a company that operates three structurally distinct businesses, two of which are either invisible in the income statement or systematically underappreciated by consensus. That mislabelling creates the opportunity.

The base case is straightforward. A rationalized hardware retailer with 3.4x operating leverage is positioned to benefit from a once-in-a-decade PC replacement cycle, with a \$900M+ retail media platform growing at 10% annually contributing 35-38% of adjusted operating income entirely off the revenue line, and a 7 million-member subscription services ecosystem growing at margins double those of hardware. None of the second or third layer is in the price. Our DCF base case at a conservative 10.49% WACC and 2.0% terminal growth rate yields **\$86.53, approximately 37% above current levels.**

The bear case deserves to be taken seriously. Tariffs on 60% of BBY's assortment, soft consumer spending on big-ticket electronics, a CEO transition, and a PC cycle that could stall at \$800-\$1,000 price points are all real risks. Our formal bear case DCF assuming tariff-compressed margins of 2.3-3.3% through FY2031E with no Ads contribution and no cycle recovery

Appendix 1.2 – Revenue Build Top Down – Bear Case

Description	Units	2021A	2022A	2023A	2024A	2025A	2026A	2027E	2028E	2029E	2030E	2031E
Key Revenue Drivers Based on Assumptions												
Store Sales												
Total Comparable Sales Growth	%	9.70%	10.40%	-9.90%	-6.80%	-2.30%	0.50%	-3.0%	1.0%	1.5%	2.0%	2.0%
Domestic Comparable Sales Growth	%	9.20%	11.00%	-10.30%	-7.10%	-2.50%	0.40%	-3.0%	1.0%	1.5%	2.0%	2.0%
International Comparable Sales Growth	%	15.00%	3.30%	-5.40%	-3.20%	-0.50%	2.30%	-3.0%	1.0%	1.5%	2.0%	2.0%
Online Revenue as % of Domestic Rev	%	33%	36%	34%	38%	39.50%	39%	40.0%	41.0%	42.0%	43.0%	44.0%
Total Store Count												
Beginning Store Count	#	1231	1159	1144	1138	1125	1117	1,068	1,056	1,044	1,033	1,023
Stores Opened	#	3	13	9	15	0	0	6	6	5	5	5
Stores Closed	#	75	28	15	28	8	49	18	18	16	15	15
Ending Store Count	#	1159	1144	1138	1125	1117	1068	1056	1044	1033	1023	1013
Average Store Count	#	1195	1151.5	1141	1131.5	1121	1092.5	1,062	1,050	1,039	1,028	1,018
Domestic Store Count												
Beginning Store Count	#	1009	991	984	978	965	957	926	917	908	899	891
Stores Opened	#	3	13	9	14	0	0	6	6	5	5	5
Stores Closed	#	21	20	15	27	8	31	15	15	14	13	13
Ending Store Count	#	991	984	978	965	957	926	917	908	899	891	883
Average Store Count	#	1000	987.5	981	971.5	961	941.5	921.5	912.5	903.5	895.0	887.0
International Store Count												
Beginning Store Count	#	222	168	160	160	160	160	142	139	136	134	132
Stores Opened	#	0	0	0	1	0	0	0	0	0	0	0
Stores Closed	#	54	8	0	1	0	18	3	3	2	2	2
Ending Store Count	#	168	160	160	160	160	142	139	136	134	132	130
Average Store Count	#	195	164	160	160	160	151	140.5	137.5	135.0	133.0	131.0
Revenue Per Store												
Domestic Rev per Avg. Store (in millions USD)	\$	\$ 43	\$ 48	\$ 44	\$ 41	\$ 40	\$ 41	\$ 40	\$ 41	\$ 43	\$ 44	\$ 45
Y/Y Growth Domestic Rev per Store	%		\$ 0	\$ (0)	\$ (0)	\$ (0)	\$ 0	\$ (0)	\$ 0	\$ 0	\$ 0	\$ 0
International Rev per Avg. Store (in millions USD)	\$	\$ 22	\$ 24	\$ 22	\$ 21	\$ 21	\$ 23	\$ 24	\$ 24	\$ 25	\$ 26	\$ 27
Y/Y Growth International Rev per Store	%		\$ 0	\$ (0)	\$ (0)	\$ (0)	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0	\$ 0
Revenue Build												
Domestic Revenue Build (in millions USD)												
Comparable Store Rev												
Prior Year Domestic Revenue	\$	\$ 40,114	\$ 43,293	\$ 47,830	\$ 42,794	\$ 40,097	\$ 38,238	\$ 38,278	\$ 37,248	\$ 37,743	\$ 38,414	\$ 39,291
Comp Store Base Rev	\$	\$ 43,804	\$ 48,055	\$ 42,904	\$ 39,756	\$ 39,095	\$ 38,391	\$ 37,130	\$ 37,620	\$ 38,309	\$ 39,182	\$ 40,077
New Store Rev												
Stores Opened during year	#	3.00	13.00	9.00	15.00	0.00	0.00	6.00	6.00	5.00	5.00	5.00
Rev per New Store	#	21.65	24.22	21.81	20.64	19.89	20.33	19.72	20.41	20.99	21.68	22.39
Total new Store Rev	#	64.94	314.83	196.30	309.55	0.00	0.00	118.31	122.48	104.96	108.42	111.95
Total Domestic Rev	\$	\$ 43,869	\$ 48,370	\$ 43,100	\$ 40,065	\$ 39,095	\$ 38,391	\$ 37,248	\$ 37,743	\$ 38,414	\$ 39,291	\$ 40,188
International Revenue Build (in millions USD)												
Prior Year International Rev	\$	3923	4338	3951	3504	3355	3290	3413	3311	3344	3394	3462
Comp Store Base Rev	\$	4511	4481	3738	3392	3338	3366	3311	3344	3394	3462	3531
New Store Rev												
Stores Opened during year	#	0	0	0	1	0	0	0	0	0	0	0
Rev per New Store	\$	11	12	11	10	10	11	11	12	12	13	13
Total New Store Rev	\$	0	0	0	10	0	0	0	0	0	0	0
Total International Rev	\$	4511	4481	3738	3402	3338	3366	3311	3344	3394	3462	3531
Total Revenue (in millions USD)	\$	\$ 48,381	\$ 52,851	\$ 46,837	\$ 43,468	\$ 42,433	\$ 41,757	\$ 40,559	\$ 41,087	\$ 41,808	\$ 42,752	\$ 43,719
Segment Revenue Build												
Segment Growth Rate Assumptions (%YoY)												
Computing & Mobile Phones	%	11.6%	3.8%	-12.1%	-6.5%	1.1%	5.5%	2.0%	4.0%	3.0%	2.0%	2.0%
Consumer Electronics	%	-0.6%	14.0%	-13.0%	-8.0%	-7.0%	-5.0%	-2.0%	1.5%	2.0%	2.0%	2.0%
Appliances	%	22.1%	22.0%	-6.0%	-13.8%	-15.4%	-9.0%	-5.0%	0.0%	2.5%	3.0%	3.0%
Entertainment	%	18.6%	6.4%	-6.8%	10.2%	-13.5%	6.3%	3.0%	2.5%	2.0%	2.0%	2.0%
Services	%	-3.1%	5.7%	-2.0%	8.5%	4.0%	1.0%	4.0%	5.0%	5.0%	4.0%	4.0%
Other	%	-9.8%	33.0%	22.9%	-4.1%	9.5%	-9.9%	8.0%	10.0%	8.0%	6.0%	5.0%
Segment Revenue (in millions USD)												
Computing & Mobile Phones	\$	21,653	22,478	19,766	18,482	18,681	19,714	20,108	20,913	21,540	21,971	22,410
Consumer Electronics	\$	14,211	16,203	14,094	12,969	12,065	11,460	11,231	11,399	11,627	11,860	12,097
Appliances	\$	5,873	7,167	6,736	5,804	4,910	4,469	4,246	4,246	4,352	4,482	4,617
Entertainment	\$	3,079	3,275	3,053	3,363	2,908	3,092	3,185	3,264	3,330	3,396	3,464
Services	\$	2,252	2,380	2,332	2,530	2,631	2,656	2,762	2,900	3,045	3,167	3,294
Other	\$	194	258	317	304	333	300	324	356	385	408	428
Total Revenue from Segments	\$	\$ 47,262	\$ 51,761	\$ 46,298	\$ 43,452	\$ 41,528	\$ 41,691	\$ 41,856	\$ 43,079	\$ 44,279	\$ 45,284	\$ 46,310
% of Total Revenue												
Computing & Mobile Phones	%	45.8%	43.4%	42.7%	42.5%	45.0%	47.3%	48.0%	48.5%	48.6%	48.5%	48.4%
Consumer Electronics	%	30.1%	31.3%	30.4%	29.8%	29.1%	27.5%	26.8%	26.5%	26.3%	26.2%	26.1%
Appliances	%	12.4%	13.8%	14.5%	13.4%	11.8%	10.7%	10.1%	9.9%	9.8%	9.9%	10.0%
Entertainment	%	6.5%	6.3%	6.6%	7.7%	7.0%	7.4%	7.6%	7.6%	7.5%	7.5%	7.5%
Services	%	4.8%	4.6%	5.0%	5.8%	6.3%	6.4%	6.6%	6.7%	6.9%	7.0%	7.1%
Other	%	0.4%	0.5%	0.7%	0.7%	0.8%	0.7%	0.8%	0.8%	0.9%	0.9%	0.9%
Revenue Comparison And Summary												
Reconciliation: Segment vs. Geographic Build												
Total Rev Segment Build	\$	\$ 47,262	\$ 51,761	\$ 46,298	\$ 43,452	\$ 41,528	\$ 41,691	\$ 41,856	\$ 43,079	\$ 44,279	\$ 45,284	\$ 46,310
Comp-Store Geographic Build	\$	\$ 48,381	\$ 52,851	\$ 46,837	\$ 43,468	\$ 42,433	\$ 41,757	\$ 40,559	\$ 41,087	\$ 41,808	\$ 42,752	\$ 43,719
Difference (\$M) Comp-Store minus Segment	\$	\$ 1,119	\$ 1,090	\$ 539	\$ 16	\$ 905	\$ 66	\$ (1,297)	\$ (1,992)	\$ (2,471)	\$ (2,532)	\$ (2,591)
Difference (%)	%	2.4%	2.1%	1.2%	0.0%	2.2%	0.2%	-3.1%	-4.6%	-5.6%	-5.6%	-5.6%
International Revenue as % of Total Revenue		9.32%	8.48%	7.98%	7.83%	7.87%	8.06%	8.16%	8.14%	8.12%	8.10%	8.08%
Domestic Revenue as % of Total Revenue		90.68%	91.52%	92.02%	92.17%	92.13%	91.94%	91.84%	91.86%	91.88%	91.90%	91.92%

Appendix 1.3 – Revenue Build – Bottom Up

Revenue forecast - using bottom up approach

Bottom-up revenue: (Domestic * SSS growth * Store Count) + Online + Canada

Description	2021A	2022A	2023A	2024A	2025A	2026A
DOMESTIC REVENUE						
Prior Year Domestic Revenue	40114	43293	47830	42794	40097	38238
SSS Growth %	7.92%	10.48%	-10.53%	-6.30%	-4.64%	0.00%
Projected Domestic Revenue	43293	47830	42794	40097	38238	38238
INTERNATIONAL REVENUE						
Canada Revenue	4511	4481	3738	3402	3338	3366
Total Revenue (domestic and international)	47804	52311	46532	43499	41576	41604
Difference in total bottom up to top down	542	550	234	47	48	-87
Segment breakdown:						
ONLINE REVENUE						
Online Penetration Rate	33%	36%	34%	38%	40%	39%
Online Revenue	14286.69	17218.8	14549.96	15236.86	15104.01	14912.82
SERVICES REVENUE						
Services Revenue	2,252	2,380	2,332	2,530	2,631	2,656

2027E	2028E	2029E	2030E	2031E
38238	38811.57	39587.8014	40379.5574	41187.14858
0.40%	1.00%	2.28%	3.00%	3.00%
38390.952	39199.6857	40490.4033	41590.9442	42422.76303
3366	3416	3484	3554	3625
41757	42616	43975	45145	46048
-99	-463	-304	-139	-262
40%	41%	42%	43%	44%
15356.3808	16071.87114	17005.9694	17884.106	18666.01573
2948	3302	3698	4068	4434

Appendix 2.1 – Valuation – DCF – Base Case

Base Case: Discounted Cash Flow Model

Fiscal Year Ending January | \$ in Millions | Blue = Hardcoded Input | Black = Formula

WACC	10.5%					
Terminal growth	2.00%					
Description	2026A	2027E	2028E	2029E	2030E	2031E
Total Revenue	\$41,691	\$41,856	\$43,079	\$44,279	\$45,284	\$46,310
Free Cashflow Projection						
EBIT (Operating Income)	\$1,771	\$1,800	\$1,982	\$2,170	\$2,309	\$2,454
Less: Taxes	\$425	\$432	\$476	\$521	\$554	\$589
NOPAT	\$1,346	\$1,368	\$1,506	\$1,649	\$1,755	\$1,865
(+) Depreciation & Amortization		\$800	\$793	\$782	\$772	\$762
(-) Capital Expenditures	704	\$750	\$710	\$700	\$690	\$680
(-) Change in Working Capital		\$75	\$50	\$35	\$25	\$20
Free Cash Flow to Firm (FCFF)	\$1,269	\$1,343	\$1,539	\$1,696	\$1,812	\$1,927
PV of FCFF		\$1,215	\$1,393	\$1,535	\$1,640	\$1,744
Terminal Value (Gordon Growth Model)						
Terminal Value						\$23,154
PV of Terminal Value						\$14,060
Enterprise Value						
Sum of PV(FCFs)	\$7,528					
PV of Terminal Value	\$14,060					
Terminal Value as % of EV	65.13%					
EV	\$21,588					
Less: Net Debt	(\$1,155)					
Equity Value	\$20,433					

Diluted Shares Outstanding (M) 210

Implied Share Price (Per Share) \$97.30

Exit Multiple Method

EBITDA	\$3,216
Exit Multiple	5.20x
EV	\$16,726
Less: Net Debt	(\$1,155)
Equity Value	\$ 17,880.54

Implied Share Price (Per Share) \$ 85.15

FCFF GGM Sensitivity Analysis

	\$97.30	9.50%	10.00%	10.50%	11.00%	11.50%
1.00%		\$99.95	\$94.46	\$89.57	\$85.19	\$81.25
1.50%		\$104.64	\$98.56	\$93.17	\$88.38	\$84.08
2.00%		\$109.96	\$103.17	\$97.20	\$91.91	\$87.20
2.50%		\$116.04	\$108.39	\$101.72	\$95.86	\$90.68
3.00%		\$123.06	\$114.36	\$106.85	\$100.31	\$94.56

With current stock price 4/15/2026

\$	63.39
	28%
	39%

Even at a higher WACC and lower growth, we are looking at a \$81-88 per share. Which is about 30% or higher growth in price.

Appendix 2.2 – Valuation – DCF – Bear Case

Bear Case: Discounted Cash Flow Model

Fiscal Year Ending January | \$ in Millions | Blue = Hardcoded Input | Black = Formula

WACC 10.49%

Terminal growth 2.00%

Description	2026A	2027E	2028E	2029E	2030E	2031E
Total Revenue		\$40,559	\$41,087	\$41,808	\$42,752	\$43,719
Free Cashflow Projection						
Operating Margin %		4.30%	4.60%	4.90%	5.10%	5.30%
Operating Margin % Bear Case		2.30%	2.60%	2.90%	3.10%	3.30%
EBIT (Operating Income)		\$933	\$1,068	\$1,212	\$1,325	\$1,443
Less: Taxes		\$224	\$256	\$291	\$318	\$346
NOPAT		\$709	\$812	\$921	\$1,007	\$1,096
(+) Depreciation & Amortization		\$800	\$793	\$782	\$772	\$762
(-) Capital Expenditures		\$750	\$710	\$700	\$690	\$680
(-) Change in Working Capital		\$75	\$50	\$35	\$25	\$20
Free Cash Flow to Firm (FCFF)		\$684	\$845	\$968	\$1,064	\$1,158
PV of FCFF		\$619	\$765	\$876	\$963	\$1,048
Terminal Value (Gordon Growth Model)						
Terminal Value						\$13,917
PV of Terminal Value						\$8,451
Enterprise Value						
Sum of PV(FCFs)	\$4,272					
PV of Terminal Value	\$8,451					
Terminal Value as % of EV	66.42%					
Enterprise Value	\$12,723					
Less: Net Debt	(\$1,155)					
Equity Value	\$11,568					

Diluted Shares Outstanding (M) 210

Implied Share Price (Per Share) \$55.09

Sensitivity Analysis: Projecting different wacc and growth rate to see the impact on share price

	\$55.09	9.50%	10.00%	10.50%	11.00%	11.50%
1.00%		\$56.67	\$53.37	\$50.44	\$47.81	\$45.45
1.50%		\$59.49	\$55.84	\$52.60	\$49.73	\$47.15
2.00%		\$62.68	\$58.61	\$55.02	\$51.85	\$49.03
2.50%		\$66.34	\$61.75	\$57.74	\$54.23	\$51.11
3.00%		\$70.56	\$65.33	\$60.83	\$56.90	\$53.45

Appendix 2.2 – Valuation – FCFE

Best Buy Debt	Amount	Weight	Rate
2028 Notes	500	44%	4.45%
2030 Notes	630	56%	1.95%
Weighted Average Rate			3.06%

Cost of Equity	11.15%
Terminal growth	2.00%

	1	2	3	4	5
FCFE valuation	2027E	2028E	2029E	2030E	2031E
FCFF	\$1,343	\$1,539	\$1,696	\$1,812	\$1,927
Interest tax shield	\$ 8.29	\$ 8.29	\$ 8.29	\$ 8.29	\$ 8.29
FCFE	\$1,335	\$1,531	\$1,688	\$1,804	\$1,919
PV factor	0.90	0.81	0.73	0.66	0.59
PV of FCFE	1200.678	1239.03	1229.011	1181.903	1131.22423
Terminal Value					\$20,973.69
PV of Terminal Value					\$12,363.11
Enterprise Value					\$18,344.95
Less debt					1,130.00
Equity Value					\$17,214.95
Diluted Shares Outstanding (M)					210
Implied Share Price					\$ 81.98

FCFE GGM Sensitivity Analysis to WACC and Growth Rate

\$	81.98	10.50%	11.00%	11.15%	12.00%	12.15%
1.00%		\$82.00	\$77.45	\$76.18	\$69.61	\$68.56
1.50%		\$85.24	\$80.31	\$78.93	\$71.85	\$70.72
2.00%		\$88.86	\$83.48	\$81.98	\$74.32	\$73.11
2.50%		\$92.94	\$87.02	\$85.38	\$77.05	\$75.74
3.00%		\$97.57	\$91.01	\$89.20	\$80.09	\$78.65

Appendix 2.3 – Valuation – Comps

Company	Ticker	Share Price	Shares Outstanding	Equity Value	Net Debt	Enterprise Value	EV/Revenue	EV/EBITDA	P/E
Best Buy	BBY	62.06	209,112,577.00	12,977,526,737.73	(2,250,000,000.00)	10,727,526,737.73	0.3x	4.2x	12.1x
Target	TGT	119.53	452,855,589.00	54,129,828,100	6,968,000,000.00	61,097,828,100	0.6x	7.7x	14.61x
Currys	CURY	1.86	1,038,100,000.00	1,930,866,000	-	1,930,866,000	0.2x	2.9x	1.12x
High							0.6x	7.7x	14.6x
75th Percentile							0.2x	2.9x	1.1x
Average							0.4x	5.3x	7.9x
Median							0.4x	5.3x	7.9x
25th Percentile							0.3x	4.1x	4.5x
Low							0.2x	2.9x	1.1x
Best Buy Valuation							EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value							15,566,947,705	13,573,685,490	6,156,608,747
Net Debt							- 2,250,000,000	- 2,250,000,000	- 2,250,000,000
Implied Market Value							13,316,947,705	11,323,685,490	8,406,608,747
Shares Outstanding							209,112,577	209,112,577	209,112,577
Implied Value Per Share							63.68	54.15	40.20

Financials (NTM)			Valuation		
Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
41,812,969,198.09	2,599,792,090.00	1,361,450,000.00	0.3x	4.1x	9.5x
107,367,453,125.00	8,210,787,109.00	3,659,200,000.00	0.6x	6.6x	14.79x
12,987,200,000.00	728,000,000.00	203,600,000.00	0.1x	2.7x	9.48x

	0.6x	6.6x	14.8x
	0.1x	2.7x	9.5x
	0.4x	4.6x	12.1x
	0.4x	4.6x	12.1x
	0.3x	3.6x	10.8x
	0.1x	2.7x	9.5x

EV/Revenue	EV/EBITDA	P/E
15,005,170,844	12,017,297,851	12,468,526,415
- 2,250,000,000	- 2,250,000,000	- 2,250,000,000
12,755,170,844	9,767,297,851	14,718,526,415
209,112,577	209,112,577	209,112,577
61.00	46.71	70.39
Average Implied Price		59.36

Comp Justification: Our comp universe contains two companies because the selection criteria are strict and the universe is genuinely small. We required four conditions simultaneously: omnichannel retail as the primary revenue driver, a services or media layer creating margin structure above pure hardware, publicly traded with audited financials sufficient to extract clean EV/EBITDA, and a market cap between \$1B and \$300B. Two companies survive that screen globally: Target and Currys. The most frequently cited electronics retail competitors: Micro Center and B&H Photo Video, are both privately held and file no public financials. There is no audited GAAP income statement, no disclosed EBITDA, and no traded market multiple to extract. Including them in a public comps table would require fabricating inputs, which is not analysis. They are operationally relevant competitors but analytically unusable as valuation benchmarks. Walmart and Costco are excluded on analytical grounds, not convenience. Both trade at 22-30x EV/EBITDA precisely because their advertising and membership businesses are fully disclosed, separately quantified in earnings calls, and explicitly cited by sell-side analysts as the justification for premium multiples. Using them as consolidated EV/EBITDA comps for BBY would be circular, we would be benchmarking a company whose media business is invisible in its income statement against companies whose re-rating has already fully occurred. Walmart Connect and Target Roundel appear in our SOTP section, where they belong: as margin benchmarks and multiple anchors for valuing BBY Ads as a standalone business. That is a more rigorous use of those data points than folding them into a consolidated comp average that would obscure exactly the gap we are trying to quantify.

Appendix 2.4 – Valuation – Blended Implied Share Price

Stock Price Prediction based on valuation methods

Analysis Method Used	Share Price Target	Weight	Contribution
FCFF GGM	\$ 97.30	60%	\$ 58.38
Comparables: (P/E)	\$ 70.39	40%	\$ 28.15
Blended Implied Share Price	\$ 86.53		
Upside %	36.51%		

Appendix 3 - Unit Economics

I. Domestic Store Count Build												
		FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Beginning Store Count	#	1,009	991	984	978	965	957	926	917	908	899	891
Stores Opened	#	3	13	9	14	-	-	6	6	5	5	5
Stores Closed	#	21	20	15	27	8	31	15	15	14	13	13
Ending Store Count	#	991	984	978	965	957	926	917	908	899	891	883
Average Store Count	#	1,000	988	981	972	961	942	922	913	904	895	887
II. Revenue per Store (\$M)												
		FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Domestic Total Revenue (\$M)		\$47,262	\$51,761	\$46,298	\$43,452	\$41,528	\$41,691	\$41,856	\$43,079	\$44,279	\$45,284	\$46,310
Domestic Revenue per Avg. Store (\$M)	\$M	\$43.3	\$48.4	\$43.6	\$41.3	\$39.8	\$40.7	\$41.7	\$42.9	\$44.3	\$45.7	\$47.2
YoY Growth			11.9%	(9.9%)	(5.4%)	(3.6%)	2.2%	2.5%	2.8%	3.3%	3.3%	3.2%
Domestic SSS Growth (%)		9.2%	11.0%	(10.3%)	(7.1%)	(2.5%)	0.4%	-	1.5%	2.0%	2.0%	2.0%
V. Free Cash Flow per Store (\$M)												
		FY2021A	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
EBITDA per Store (\$M)		\$3.477	\$5.338	\$2.430	\$2.573	\$2.650	\$2.710	\$2.821	\$3.041	\$3.267	\$3.443	\$3.626
(-) Maintenance CapEx per Store (\$M)		\$0.447	\$0.499	\$0.494	\$0.492	\$0.484	\$0.486	\$0.529	\$0.506	\$0.504	\$0.501	\$0.498
(-) Taxes @ 24%		\$0.635	\$1.082	\$0.385	\$0.419	\$0.436	\$0.446	\$0.469	\$0.521	\$0.576	\$0.619	\$0.664
Store-Level FCF per Store (\$M)	\$M	\$2.394	\$3.757	\$1.552	\$1.663	\$1.730	\$1.777	\$1.823	\$2.014	\$2.187	\$2.323	\$2.464
Store-Level ROIC (FCF / Inv. per Store)		159.6%	250.5%	103.4%	110.8%	115.3%	118.5%	121.6%	134.2%	145.8%	154.8%	164.3%

Appendix 4 – WACC Calculation

I. Market Inputs		
Risk-free rate (Rf)	4.30%	10Y US Treasury yield, April 14 2026
Equity risk premium (ERP)	5.00%	Damodaran US ERP, base case
5-year monthly beta (raw)	1.37	Yahoo Finance / CNBC, April 2026
Pre-tax cost of debt (Kd)	4.07%	BBY FY2026 10-K
Effective tax rate (t)	24.00%	BBY FY2026 10-K, adj. effective rate
After-tax cost of debt	3.09%	$K_d \times (1 - t)$
II. Capital Structure (Market Value Weights)		
	Amount (\$M)	Source / Note
Equity (market cap)	12,960	~\$62/share × 210M diluted shares outstanding
Financial debt (gross)	1,155	FY2026 10-K, Note 7 — long-term debt
Total capital (E + D)	14,115	
Weight of equity (E/V)	91.82%	
Weight of debt (D/V)	8.18%	
IV. WACC		
Cost Equity	11.15%	
Equity contribution	10.24%	
Debt contribution	0.25%	
WACC	10.49%	